

General Insurance
Association of Singapore

Annual Report 2014

SG 50

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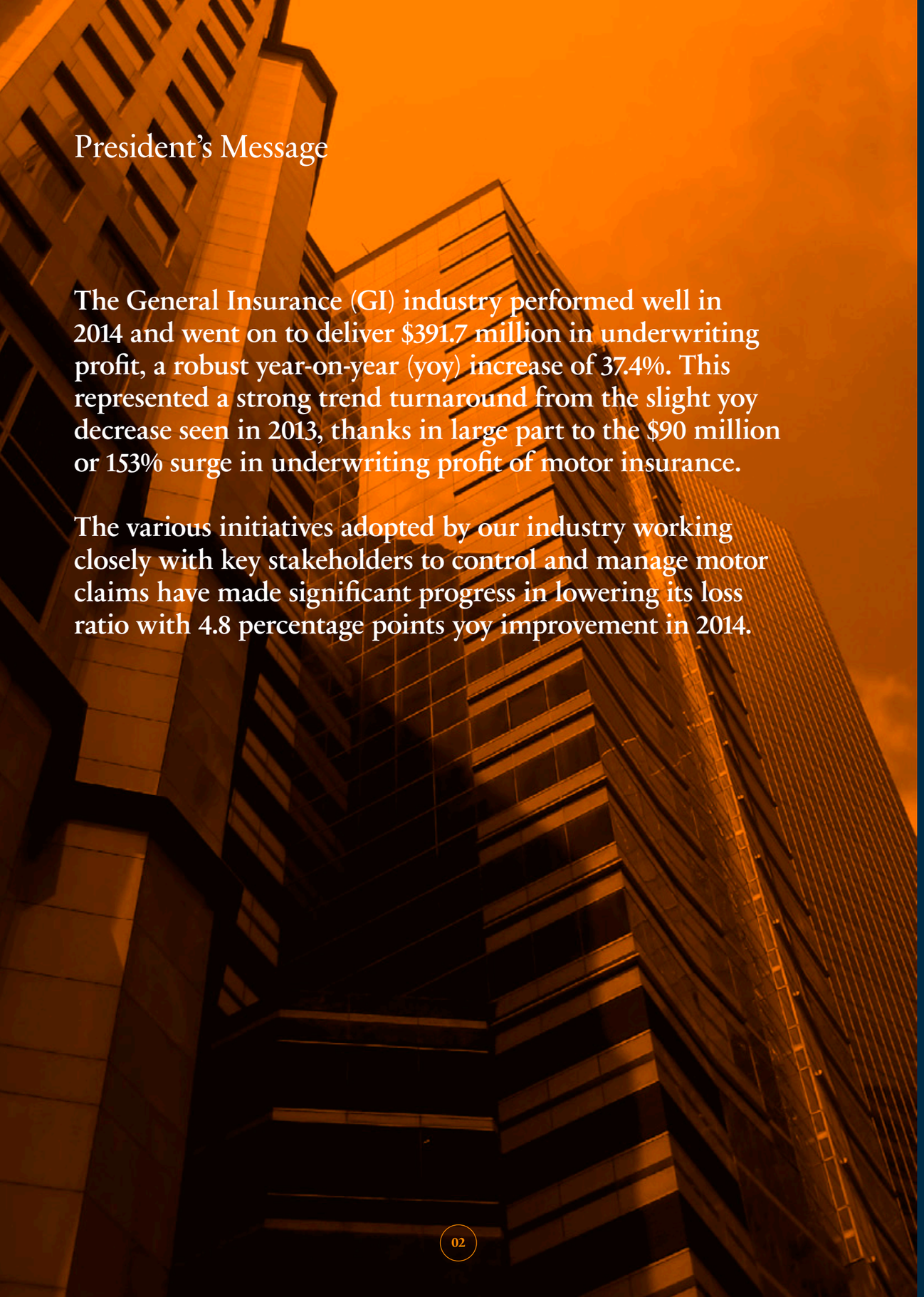
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President's Message

The General Insurance (GI) industry performed well in 2014 and went on to deliver $391.7 million in underwriting profit, a robust year-on-year (yoy) increase of 37.4%. This represented a strong trend turnaround from the slight yoy decrease seen in 2013, thanks in large part to the $90 million or 153% surge in underwriting profit of motor insurance.

The various initiatives adopted by our industry working closely with key stakeholders to control and manage motor claims have made significant progress in lowering its loss ratio with 4.8 percentage points yoy improvement in 2014.

Specialty class and Work Injury Compensation (WIC) also achieved yoy increase in underwriting profit of $24 million and $17 million respectively. The positive results were partially offset by drops in Cargo and Hull results of $30 million. Fire, Personal Accident (PA) and Health remained stable contributors to the industry's underwriting results.

Gross written premium revenue grew marginally by 1.1% to $3.53 billion. This reflects the stiff competition of the GI market. If this trend continues and coupled with the uncertain global economies, we could see a decline in industry revenue in 2015.

PA & Health were the year's top revenue performance with $82 million improvement followed by WIC with $27 million growth. Specialty class, Cargo & Hull, on the other hand experienced yoy decline of $31 million and $17 million respectively. Following a few years of profitable underwriting results, motor insurance revenue was stagnant with a marginal drop of 2% yoy.

$391.7M

↑ GI UNDERWRITING PROFIT: 37.4% YOY INCREASE

$17M

↑ UNDERWRITING PROFIT FOR WIC IN 2014

On our 2014 milestones and initiatives

Moving on to the initiatives and activities we had to improve areas of our industry and help our members better conduct their business, the year had been highly eventful and satisfactory.

- We saw the introduction of a Motor Accident Guide (MAG) by the State Courts—a development we very much supported and welcomed. The guide provides people a ready and authoritative reference when they are involved in a motor accident. It encourages members of the public, motorists and insurers to settle motor accident claims out of court, which we believe will help our industry bring down the cost of claims processing and settlement.

  We are working to engage the State Courts in discussions as to how the GIA can assist in creating public awareness of MAG.

  Before I move on to our other areas of initiatives, I would like to thank our partners, particularly the Motor Insurance Task Force, through the leadership of the Presidents of the Consumers Association of Singapore (CASE) and the Automobile Association of Singapore (AAS), for working with us to find ways of lowering motor claims costs—and consequently premium rates.

- The early part of 2014 saw our Agents' Registration Board (ARB) and our Management Committee proposing changes to the General Insurance Agents Registration Regulations or GIARR. These changes aimed to streamline and provide clarity to the roles, responsibilities and accountabilities of agents, members and the Board, and to build a more robust regulatory framework.

Based on the feedback we received from our members, we made revisions to the GIARR—to clearly define the accountabilities and responsibilities of agents, insurers, and the ARB. As a result of these revisions, the ARB has taken a more proactive role and will be conducting ad-hoc audit on its agents. We accordingly held two industry briefings to communicate these changes: one for our agents, and another for our members.

- In the WIC sector, we witnessed the enhancement of the iReport to incorporate the name of the project main contractor and the insurer of its policy. This would help parties easily identify the project insurer, which can then promptly communicate to the Ministry of Manpower (MOM) that it would step in as the insurer involved in the claim. As an outcome of this initiative, the MOM rolled out in April 2014 a workplace safety and health alert service to notify occupiers of incidents and injuries reported by their subcontractors.

  After a review of practices in the collection of wage information for annual WIC policies to assess the situation of under-charging by insurers, our WIC, PA and Health Committee sought and received guidance to collate past year statistics. Going forward, requests for updates will be done on a quarterly basis.

On industry knowledge sharing

- In early 2014, GIA set it as a priority to a path of greater inclusiveness through new initiatives catering to areas of business outside our major compulsory segments: Motor and WIC. Key of these was the launch of educational seminars on property and actuarial practice to foster greater knowledge sharing and continuous learning in our industry.

  Our inaugural GI Actuaries & Liability Valuation Seminar was held at such an opportune time, when the role of actuaries had become even more important amidst changes in regulations related to solvency assessment and risk management and modelling. The Property Knowledge Seminar Series was another first in our practitioner education programme. Its first session—on management corporation strata title—drew strong participation from our practitioners and set a good precedent for our future sessions.

On consumer education

- We have also made it a priority to expand our work in consumer education, which in 2014 focused on motor and travel insurance. We hosted a lunch talk to educate consumers on choosing the right type of motor and travel insurance policies, and ran an article under the "General Insurance & U" series on the issue of motor insurance fraud.

  Growing our consumers' confidence in our products and services is critical to our business, so the next few years will see us following through what we have started, with an even more robust consumer education programme.

On building our talent pool

- Our efforts to build and expand our talent pool have not let up—with our newly rebranded GIA Internship Programme (GIP) having reached its 8th year of nurturing interns to become full-fledged industry professionals.

  In 2014, the GIP took 28 interns into its helm to do a 10-week internship programme at sponsor companies. In a testament to its growing success, the GIP has produced 181 successful interns since its launch, and as of the first quarter of 2015, 42 of them have joined our industry as full-fledged GI professionals.

On regional cooperation

- Our work towards deepening our cooperation and partnership with other Asian insurance markets has gained further steam. In particular, we have worked closely with the ASEAN Insurance Council (AIC) on the blueprint of the ASEAN Economic Community (AEC) for insurance.

  We also stepped up our dialogues with other ASEAN markets on the AEC to have a better understanding of its implications for the insurance business. Through such events as the 40th AIC Meeting and the Joint Plenary Meeting of the Regulators and the AIC, as well as the inaugural ASEAN Insurance Summit, we now have a better clarity how our businesses will be affected as economies integrate into a single ASEAN community.

On strengthening stakeholder ties

- At the GIA, we value opportunities that allow us to engage our stakeholders. We continued our collaboration with the Monetary Authority of Singapore, Land Transport Authority, Traffic Police, MOM, Singapore Maritime Foundation, CASE and AAS. We have also been working to grow our partnership with other players, and in 2014, we worked with the Singapore Actuarial Society in organising the Actuarial Knowledge Sharing Sessions.

  To show gratitude to these stakeholders and to our members for another year of support for our programmes, we ended the year by bringing them together for our Appreciation Night held at the tranquil Siloso Beach Resort in Sentosa.

All these milestones, activities and new initiatives are thanks to our Management Committee, various sub-committees, members, staff, partners and other stakeholders. With their unabated support, we have again reached new heights in advancing the interest of the Singapore GI industry and in ensuring it plays a stronger role in our economy and society.

As we welcome 2015, I invite you to join us as we celebrate SG50 together with the Life Insurance Association of Singapore and Singapore Reinsurers' Association. We will be holding a charity golf event in July, which will be made even more exciting by the participation of our friends and colleagues from other insurance associations in Singapore. We look forward to seeing you then.



A.K. Cher
President

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AXA Insurance Singapore Pte Ltd

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03 **Mr. Mike Raines**
AIG Asia Pacific Insurance Pte. Ltd.

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01 **Mr. A.K. Cher**
Tokio Marine Insurance Singapore Ltd

05 **Mr. Luiz Campos**
Liberty Insurance Pte Ltd

08 **Mr. Karl Hamann**
QBE Insurance (International) Limited

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HEAD, FINANCE
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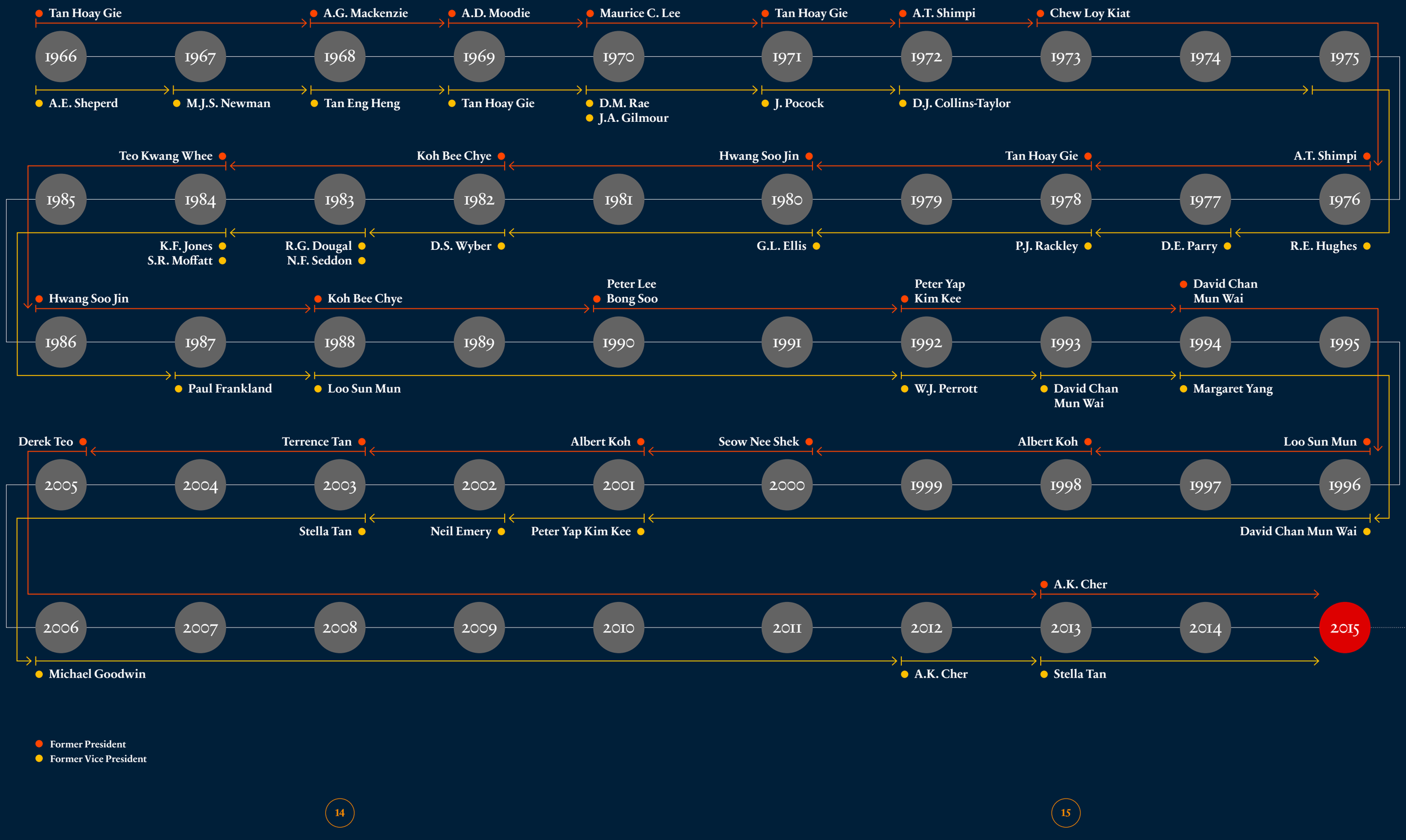
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Business in Review

Robust underwriting result characterised the performance of the Singapore General Insurance industry in 2014—a clear mark of the industry's good shape. Thanks in large part to the more than 500% surge in underwriting profit of Work Injury Compensation (WIC) insurance, the industry saw a 37.4% increase in its underwriting performance to $391.7 million over the previous year. This represented a strong turnaround from the slight decrease seen in 2013.

While it registered growth in both areas, the industry's total gross premiums and total net earned premiums recorded modest increases: Total net earned premiums grew 3.1% year-on-year to $2.6 billion, while total gross premiums went up 1.1% to $3.53 billion.

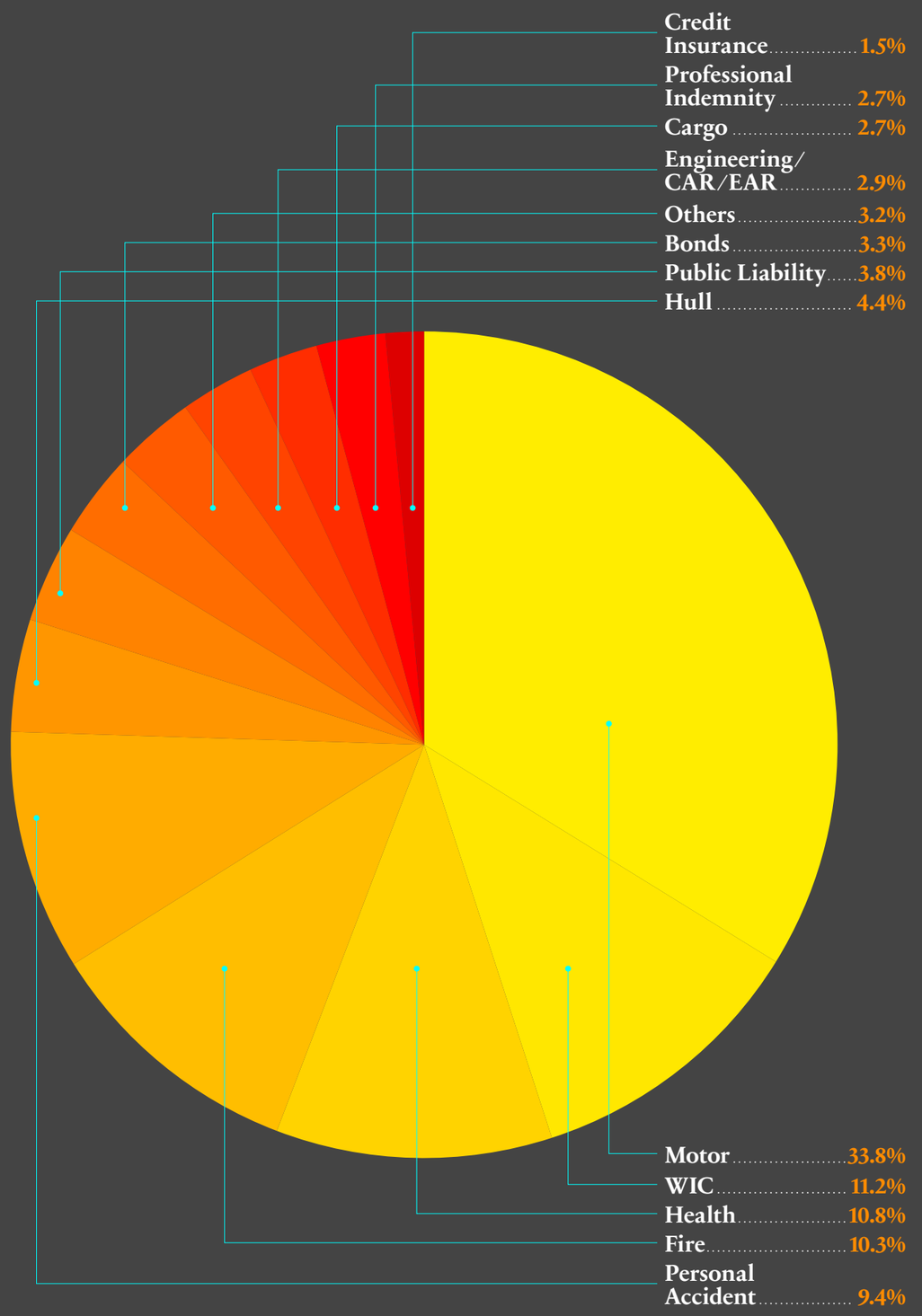
Health Insurance stood out for chalking up an impressive year-on-year growth of 31% in net earned premiums—almost double its growth in 2013. The next best performer in earned premiums was Personal Accident with 10%, followed by WIC, which saw a slower growth of 6.5% compared to its 17% increase in 2013. Hull also posted a smaller growth of 2.1% than in the previous year.

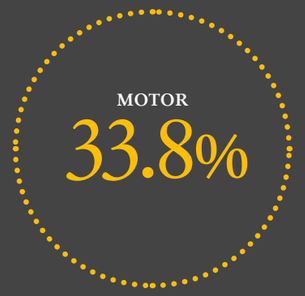
Motor saw another decline (-2.3%) in its net earned premiums, and so did Cargo, which witnessed the biggest drop at 12%. From posting a strong year-on-year growth of 13% in 2013, Fire recorded a decline of 4.2% in 2014.

All specialty classes of business registered growth in their net earned premiums, except for Bonds. Credit Insurance had the most growth at 52%, followed by Engineering/CAR/EAR at 9%. In total, the specialty segments registered an increase of 3.7% over 2013 in net earned premiums.

WIC drove the stellar overall underwriting performance of the industry, along with Motor, which made a robust 153% increase in profit over 2013. Personal Accident also delivered a solid performance with a 35% year-on-year increase, followed by Fire with 20% growth in underwriting profit. Cargo, on the other hand, saw a setback in its underwriting performance, but still made a profit. However, Hull and Health posted significant losses.

Although it made the most gain in net earned premiums among the specialty lines, Credit Insurance had another year of underwriting loss, albeit smaller than the $4.6 million loss it posted the prior year. The rest of the specialty segments made underwriting profits, led by Engineering/CAR/EAR and Professional Indemnity with 168% and 125% year-on-year increases, respectively.





Motor

Following a slim decline in its net earned premiums in 2013, Motor experienced another year-on-year decrease in its premium result. Net earned premiums slid by 2.3% to $1.1 billion over the previous year. Its underwriting profit was robust, on the other hand, delivering an increase of 153% to hit $150 million over 2013.



Fire

After a strong comeback in its net earned premiums in 2013, when it grew 13% year-on-year, Fire Insurance suffered a 4.2% decline to $145 million in its premium result, the second biggest decrease in 2014 after Cargo. But it did well on the underwriting front, chalking up a profit of $43 million, up 20% from the previous year. It was the second consecutive year of solid underwriting performance for Fire Insurance after a plunge of more than 50% in its underwriting profit in 2012.



Work Injury Compensation

The industry's second biggest class of business gained net earned premiums of $335.2 million, a year-on-year growth of 6.5%—slower than the 17% increase recorded in 2013.

The segment had the biggest turnaround story in the underwriting performance of the major business classes as it went on to post the largest increase in underwriting profit in 2014 after recording the largest decline at 41% in 2013. From an underwriting profit of $3 million in 2013, WIC made $20 million in 2014—an impressive year-on-year increase of 555%.

Personal Accident

The second best performing class among the major segments of business, Personal Accident brought home $259 million in net earned premiums, representing a year-on-year increase of 10% and building on a stable growth of around 8% seen in the previous three years.

Following its healthy underwriting performance in 2013, the segment went on to rack up $58 million in underwriting profit in 2014, a year-on-year increase of 35%. It recorded the third biggest growth in profit among the major segments that posted positive growth.



Marine Cargo & Hull

Marine Cargo and Hull both performed poorly in 2014, mirroring the weak performance of the global marine insurance sector. Cargo saw its net earned premiums go down by 12% to post $63 million over 2013. It registered the most decline in net earned premiums among the major lines of business. Its underwriting profit fell far lower, tumbling by 47% year-on-year to deliver $14 million. Both performances followed a drift slightly similar to that in 2013, when year-on-year premiums and underwriting profits slid by 0.81% and 21%, respectively.

Hull hit a slump in its performances in 2014. From a 10% year-on-year growth it registered in 2013, net earned premiums grew only by 2.1% to $69.2 million in 2014. It fared worse on the underwriting front as it made a loss of $8.2 million, representing a plunge of 191% in its underwriting result and making it the worst performer underwriting-wise among the major segments.



Health

Health continued to be the star performer among major segment in net earned premiums, posting a 31% year-on-year increase to $263.1 million—much stronger than its performance the previous year.

However, its underwriting performance took a nosedive, falling by 174% to register a loss of $7 million. This followed a decline in its underwriting profit by 35% in 2013 as the segment's incurred loss ratio deteriorated.





Public Liability

Public Liability Insurance remained the largest specialty line of business as it posted $84 million in net earned premiums in 2014. This represented an increase of 8% over 2013—lower than the 15% growth it delivered the previous year.

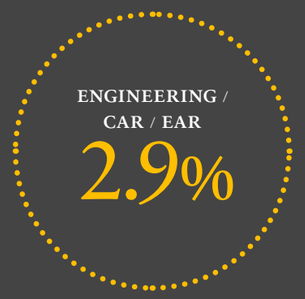
Although it made an underwriting profit in 2014, the segment saw its underwriting performance drop by 33% to deliver $35 million in profit. This was a reversal of its robust performance in 2013, when it made the most underwriting profit among all classes of business with a year-on-year increase of 110%.



Bonds

After posting stable growths in net earned premiums the previous years, Bonds saw its earned premiums go down to $67.6 million in 2014, down by 7.1% over the year before.

On the other hand, its underwriting profit had stabilised, making a positive year-on-year growth of 7.7%, in contrast to the nearly 47% fall in profit it posted in 2013. Its underwriting profit of $17.2 million in 2014 remained far from the almost $30 million it recorded in 2012, though.



Engineering / CAR / EAR

Engineering / CAR / EAR remained the second best performer in net earned premiums among the specialty segments with $36 million, a year-on-year increase of 9%. The growth, though, was lower than the nearly 29% increase seen in 2013.

From making the second highest gain in underwriting performance in 2013, the segment was the best underwriting performer in 2014 with an underwriting profit of $25 million, an increase of 168% over the previous period.



Professional Indemnity

The segment made $65 million in net earned premiums, growing 6.5% over 2013, higher than that seen the year before. It continued to hold growth potential as more emphasis was put on strong corporate governance by both companies and regulators.

From a sharp fall of more than 50% in its 2013 underwriting performance, Professional Indemnity registered the second largest underwriting growth in 2014 at 125% with a profit $20 million.



Credit Insurance

Credit Insurance recorded the most growth in net earned premiums among the specialty lines. It posted $3.4 million in earned premiums—an increase of 52% over 2013. However, from a loss of $4.6 million in 2013, it made another underwriting loss of $927,000 in 2014. These two years of losses followed a stellar underwriting performance in 2012, when its underwriting profit surged by 1,596%.

Incurred Loss Ratios

The Singapore insurance industry made headway in trimming its incurred loss ratio. From narrowly reducing it from 53.9% in 2012 to 53.2% in 2013, the industry successfully cut it by 4.8 percentage points to 48.4% in 2014. It was the sixth year in a row that the industry had snipped the ratio.

All the segments witnessed a drop in their incurred loss ratios, except for Cargo, Hull, Health, and Public Liability. Of these four, Public Liability saw the highest increase in its ratio by 22.8 percentage points. This was a reversal of its performance in 2013, when it made the biggest slash in incurred loss ratios by 30.2 percentage points. Hull and Cargo saw 17.7 and 11.1 percentage point rises, while Health had a lower increase by 6.0 percentage points.

Of the achievers, Engineering/CAR/EAR made the largest cut by 38.4 percentage points, followed by Professional Indemnity by 16.7 percentage points. Among the major classes, Motor made the biggest stride by slashing its ratio by 9.5 percentage points. Fire came in second with a 7.3 percentage point decrease, trailed by WIC and Personal Accident with 6.9 and 1.4 percentage point cuts.

Calendar of Events 2014

6 March:
- Management Corporation Strata Title (MCST) Seminar
- Budget 2014 Briefing

15 March
- Consumers Association of Singapore (CASE) Consumer Carnival

18 March
- Media Briefing

26 March
- Annual General Meeting

4 April
- Actuarial Breakfast Talk

16 April
- Maritime Knowledge Session 27

19 – 23 May
- GIA Internship Programme (GIP) Pre Internship Training

23 May
- GIA Internship Programme (GIP) Cocktail Party

29 May
- An Experiential Tour to Singapore Maritime Academy (SMA)

4 June
- Land Transport Authority (LTA) Talk

18 June
- Chief Executive Get Together

11 July
- Actuarial Breakfast Talk
- Marine Networking Night (4th session)

22 July
- Fire Seminar

3 – 4 August
- Persatuan Insurans Am Malaysia (PIAM) / General Insurance Association of Singapore (GIA) / General Insurance Association of Brunei Darussalam (GIAB) meeting

8 August
- Maritime Excursion

12 August
- Maritime Knowledge Session 28

12 September
- Actuarial Breakfast Talk

3 October
- GIA Swing For Charity

10 October
- Maritime Excursion

16 October
- Maritime Knowledge Session 29

30 October
- General Insurance Agents Registration Regulations (GIARR) Briefing for Members

2 – 6 November
- 27th East Asian Insurance Congress

11 November
- General Insurance Agents Registration Regulations (GIARR) Briefing for Agents

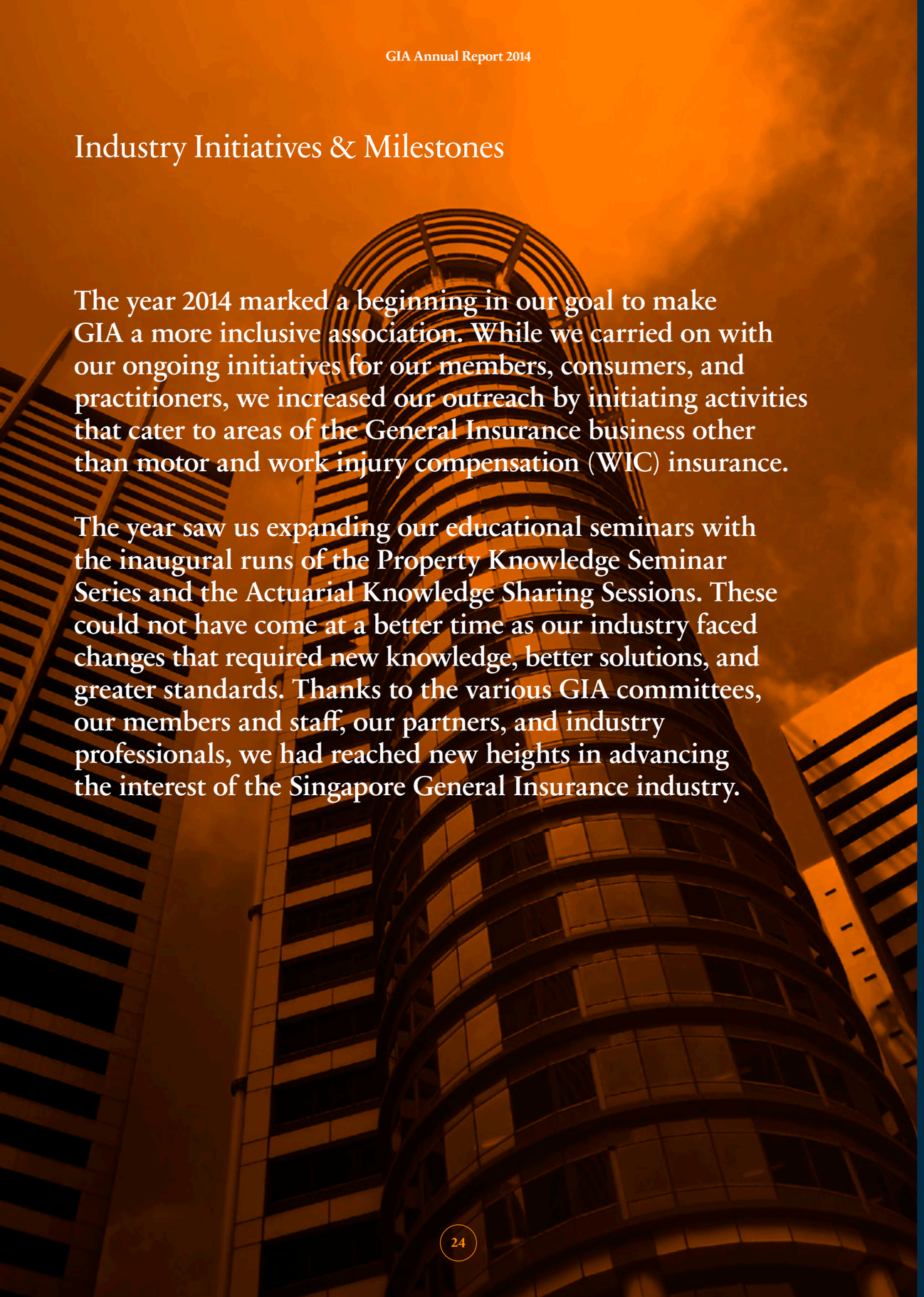
21 November
- Special General Meeting

24 – 26 November
- 40th Asean Insurance Council (AIC) and 17th Asean Insurance Regulators' Meeting (AIRM) Meeting

26 November
- Maritime Knowledge Session 30

5 December
- GIA Appreciation Night

Industry Initiatives & Milestones



The year 2014 marked a beginning in our goal to make GIA a more inclusive association. While we carried on with our ongoing initiatives for our members, consumers, and practitioners, we increased our outreach by initiating activities that cater to areas of the General Insurance business other than motor and work injury compensation (WIC) insurance.

The year saw us expanding our educational seminars with the inaugural runs of the Property Knowledge Seminar Series and the Actuarial Knowledge Sharing Sessions. These could not have come at a better time as our industry faced changes that required new knowledge, better solutions, and greater standards. Thanks to the various GIA committees, our members and staff, our partners, and industry professionals, we had reached new heights in advancing the interest of the Singapore General Insurance industry.

01

Works of the Committees

Motor Committee

A major development that we saw in 2014 was the introduction of a Motor Accident Guide by the State Courts. The 148-page guidebook provides people a ready and easily understandable reference when they figure in a motor accident. Meant to assist members of the public, motorists and insurers in resolving their traffic accident claims, the guide would encourage parties to settle their claims out of court. This, we believe, will eventually help the industry bring down the costs of claims processing and settlement.

Following this development, the GIA has decided to dovetail the Barometer of Liability Agreement or BOLA into the Motor Accident Guide. It is working to engage the State Courts in discussions as to how the GIA can play a role in creating greater public awareness about the guide. Within the industry, the Motor Committee is in talks with member companies on its proposed strategy to leverage the guide to encourage motor policyholders to file Own Damage claims when involved in a motor accident.

The Motor Committee also continues to build on the capabilities of the Motor Claims Framework (MCF), which remains an effective structure that simplifies and speeds up motor claims. Since its implementation in 2008, the number of motorists making reports within 24 hours of their motor accidents has jumped to 80%.

There is more that the MCF can do nevertheless, and so the GIA had embarked on a publicity campaign to encourage motorists to use in-vehicle cameras and to submit video footage of motor accidents as part of accident reporting process. Widely used in Singapore, in-vehicle camera devices can help insurers and the Traffic Police expeditiously resolve motor accident disputes. Through the MCF, the GIA has released publicity materials—in the form of radio capsules in both English and Mandarin—to prod motorists to use these devices for motor accident reporting.

GIARMC Initiatives

A key initiative the GIA Records Management Centre (GIARMC) took in 2014 was enhancing the Declaration of Intention for Purchase of Non-Matched Accident Reports. The move was meant to restrict members' purchase of reports of accidents, in which their policyholders are not involved, for investigative purposes only. Members are now required to make a declaration that they are "purchasing the third-party accident report strictly for investigative purposes" when making such purchases.

To further facilitate members' settlement of third-party claims, the GIARMC has enhanced the auto-matching of the accident reports of all involved parties in an accident. As long as a party involved in the accident specifies a third-party vehicle, either directly or indirectly, the GIARMC is able to match the third-party report. All matching third-party reports are complimentary for members. The centre has also put in place a standard operating procedure for the handling of

future system disruptions. With such a procedure in place, the GIARMC is now able to better manage interruptions in the system.

BOLA Sees More Improvements

To ensure that the Barometer of Liability Agreement or BOLA would continue to achieve its intended purpose of providing a simplified yet effective framework to resolve and settle all subrogation claims cost efficiently, the Motor Committee deemed it timely to review the BOLA. The exercise was completed in 2014, and members will be consulted of any proposed changes or improvements.

Since going live in 2012, the BOLA centralised online system has been going through refinements—one of the most recent of which was the auto-generation of the default payment list by individual insurers and the sending of the list to respective insurers. Likewise, members can now easily pay their Dispute Resolution Mechanism (DRM) fees to the GIA through GIRO. Thanks to these enhancements, there is now a more efficient way of sending the default payment list, and members are now able to make DRM payments expeditiously.

To address the situation where the Receiving Party (RP) fails to update the payment details and the Initiating Party (IP) is unable to close the case despite receiving payment, the BOLA centralised online system now allows the IP to update RP payment details and close the case. This is expected to create a more accurate default payment system.

Greater Standardisation of NCD Practices

The industry also saw a better standardisation of No Claims Discount (NCD) practices in 2014 with the issuance of guidelines requiring insurers to adopt a standardised method in the treatment of docking NCD. Effective October 2014, members have to deduct NCD when a claim is made—a more objective and equitable practice than scaling down a motorist's NCD upon the reporting of an accident.

Property and Marine Committee

The Property and Marine Committee has been seeking ways to help members improve their underwriting business in the property and marine segments. As part of this effort, it has started collating large marine cargo and property damage and business interruption (PDBI) losses, to keep members informed of big losses in the marine and property sectors for underwriting purposes.

Boosting skills for assessing and underwriting risks also forms part of the committee's priorities, and so in 2014, it organised a tour of the Singapore Maritime Academy to help young professionals in the marine insurance sector to better understand the "frontline" dynamics of the maritime world. Participants were given a tour of the academy's various simulation centres and learned how building a world-class database and optimal positioning systems could allow the reenactment of a mishap to enable insurers and adjusters to manage claims better.

WIPAH Committee

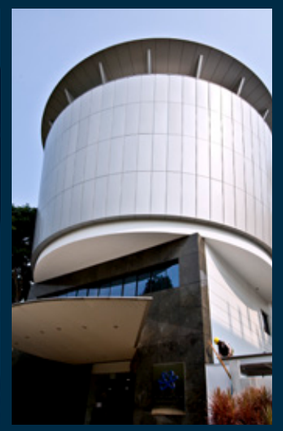
One of the market undertakings of the committee in 2014 was to assist insurers of WIC annual policies in tracing the insurers of projects. Circulars on Request to Contact were released asking insurers of project policies to get in touch with the insurers of annual policies. In the first almost 11 months of 2014, the committee saw a total of 22 such circulars sent to members.











↑ YOUNG PROFESSIONALS TOURING THE SINGAPORE MARITIME ACADEMY

Related to this, the iReport was enhanced to incorporate the name of the project main contractor and the insurer of its policy. This would help parties easily identify the project insurer, which can then promptly communicate to the Ministry of Manpower (MOM) that it would step in as the insurer involved in the claim.

As an outcome of this initiative, the MOM rolled out in April 2014 a workplace safety and health alert service to notify occupiers of incidents and injuries reported by their subcontractors. The GIA will keep on engaging the MOM on its proposal to make it mandatory for WIC insurers to submit to the ministry details of all WIC insurance policies they have issued.

In another development, the Committee had received guidance to collate past year statistics on a one-off basis—which came about from a review of current practices in relation to the collection of wage information for annual WIC policies. The review aimed at assessing the situation of under-charging by insurers. Going forward, requests for updates will be done on a quarterly basis.

Insurance Fraud Committee

The GIA Insurance Fraud Committee stepped up its efforts to educate members of the public on insurance fraud and how they could help in preventing it. It ran a campaign in 2014 to further educate and engage the public on the issue. The motor insurance fraud hotline, launched in 2013, proved to be highly effective in encouraging members of the public to report suspicious fraudulent activities. As of end-November 2014, the Committee had answered more than 130 calls, received 61 emails, and facilitated two joint investigations.



↑ MOTOR INSURANCE FRAUD CAMPAIGN IN 2013 & 2014

An equally important endeavour of the Committee was its advocacy for the revision of the Insurance Act, to accommodate specific insurance fraud laws to the relevant governmental authorities in support of fraud-fighting efforts. Revising the Act accordingly will make it easier for the Commercial Affairs Department to procure convictions related to insurance fraud. The committee had submitted a proposal to the Monetary Authority of Singapore (MAS) and is awaiting response.

Red flags identified in 2013 to help members better detect insurance fraud had gone through a review in 2014. With streamlined red flags, members have better abilities to combat fraud.

On issues relating to Malaysian vehicles, the Committee had started collating all outstanding claims linked to Malaysian cars—a step that would allow the industry to detect fraudulent patterns in such cases. Similarly, the GIARMC has enhanced its system to enable members to search the accident history of Malaysian vehicles and assist them in detecting staged accidents involving such vehicles.

Liaison with Other Regional Markets

GIA has kept on building up its cooperation with other markets in the region. As it had done in the past, it participated in a liaison meeting with Persatuan Insurans Am Malaysia (PIAM) and the Brunei Insurance and Takaful Association (BITA), which was graciously hosted by PIAM. The meeting revolved around areas where the three associations could cooperate—particularly in motor insurance—and issues concerning regulations and business performance.

The GIA once again lent its active participation in the biennial East Asian Insurance Congress (EAIC). Held in Taipei, Taiwan, the EAIC saw numerous industry players from the East Asia region come together to examine the recent changes affecting the industry. Both the GIA President, Mr. A. K. Cher, and Executive Director, Mr. Derek Teo, attended the congress.

Agents' Registration Board

As the distribution landscape of the Singapore insurance industry continued to transform, the GIA saw it fit to review the General Insurance Agents Registration Regulations (GIARR), to make them more robust and rigorous. After issuing a consultation paper to members and other stakeholders on the proposed changes, the Agents' Registration Board (ARB) held a meeting to deliberate on the feedback received, culminating in a revised GIARR implemented on 1 January 2015.

Thanks to the amended GIARR, the roles and responsibilities of agents, members, and the ARB are now clearly defined and segregated for ease of reference. The ARB has also taken a more proactive stance and will be conducting ad-hoc audit on agents. To communicate the changes, the GIA held two separate industry briefings: one for agents, and another for members.

Riding on the trend across insurance markets towards greater transparency and better consumer protection, the ARB has stopped issuing agent identity cards since 1 January 2015 and has replaced them with "virtual registration cards". Clients can now easily verify the legitimacy of the General Insurance agents they are dealing with and agents may provide evidence to clients of their legitimacy as insurance agents by visiting the Agents' Registration and CPD Management (ARCM) system on the GIA website.

Payments for registration and renewal have also been made easier for insurers, who can now make such payments through GIRO on the Agents' Registration and Continuous Professional Development system.

02

Other Activities

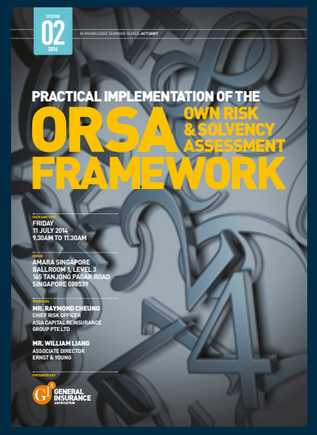
Expanded Educational Offerings to Practitioners

Our work to help our General Insurance practitioners deepen and grow their skills and knowledge had taken a new turn as we introduced two new series of educational seminars: the Actuarial Knowledge Sharing Sessions and the Property Knowledge Seminar Series.

Launched in collaboration with the Singapore Actuarial Society, our inaugural GI Actuaries & Liability Valuation Seminar focused on the various areas of actuarial work, including reserving, pricing, asset and liability modelling, mitigating portfolio, and enterprise risk management. The inception of the series came at such an opportune time, when the role of actuaries had become even more important amidst changes in regulations related to solvency assessment and risk management and modeling. One of the timely topics the series covered was the use of an Own Risk & Solvency Assessment (ORSA) framework in increasing chances of achieving objectives and reducing unplanned risks.

Another first we had in our practitioner education efforts was the launch of the Property Knowledge Seminar Series—the first session of which was titled "Management Corporation Strata Title (MCST) Seminar". Attended by more than 120 professionals from the industry, the seminar dealt with such issues as legal liability exposure of MCST and MCST fire insurance policy vis-à-vis home insurance policy.

In the fourth year of our collaboration with the Singapore Civil Defence Force and the National Fire and Civil Emergency Preparedness Council in organising the Fire Education Seminar Series, we put together a forum on "Understanding Fire Safety Regulations for High Rise Buildings in Singapore". The event taught an audience of 100 industry practitioners on the procedures of fire safety measures, equipping them with the information needed to evaluate various risks exposures for high-rise buildings.





FROM LEFT: ACTUARIAL KNOWLEDGE SHARING SESSION 2, AND PROPERTY KNOWLEDGE SEMINAR SERIES SESSION 1





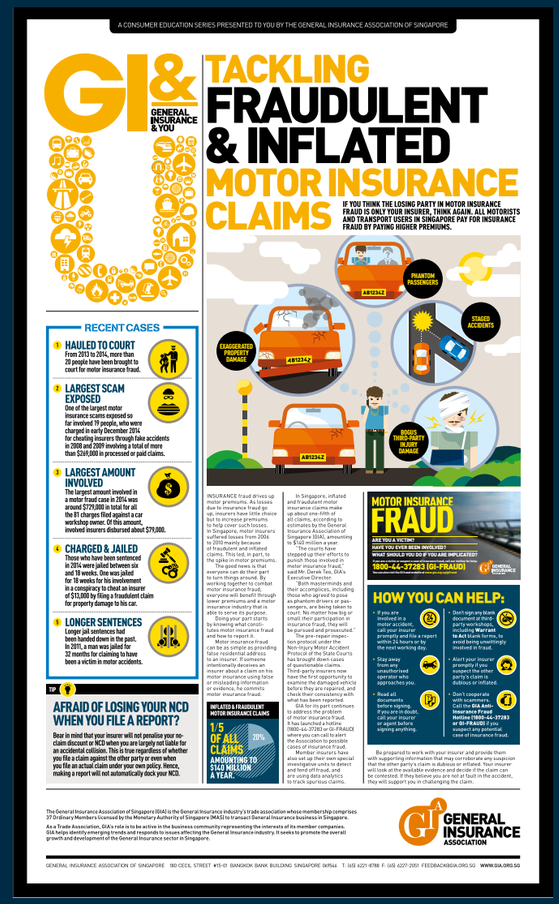
MARITIME KNOWLEDGE SHIPPING SESSIONS 28 & 29

The Maritime Knowledge Shipping Session had reached its eighth year, and on this occasion, it ran seminars on trade credit, financing, and government support; the importance of class on marine insurance and claims; and the challenges in managing refrigerated cargoes. One of our longest-running and well-followed seminar series, the Maritime Knowledge Shipping Session continued to attract interest from practitioners and to receive good feedback from participants.

Heightened Consumer Education

The past few years have seen the GIA stepping up its work in the area of consumer education. The year 2014 saw it hosting a lunch talk on motor and travel insurance to educate consumers on choosing the right type of motor and travel insurance policies and the factors to consider in making such a selection.

Motor insurance being a compulsory and hence widely used type of insurance in Singapore, the GIA has made a commitment to continue educating consumers on the various issues involving motor insurance. It devoted an article, published in a business daily under the "General Insurance & U" series, on motor insurance focusing on the problem of motor insurance fraud.



GENERAL INSURANCE & U CONSUMER EDUCATION SERIES ADVERTORIAL (DECEMBER 2014)











↑ FROM TOP: THE 28 INTERNS OF 2014'S GIP WITH GIA EXECUTIVE DIRECTOR, MR. DEREK TEO, MARITIME NETWORKING NIGHT, AND GIA APPRECIATION NIGHT

↑ FROM MIDDLE: GIA SWING FOR CHARITY 2014, CORPORATE SOCIAL RESPONSIBILITY PROGRAMME 2014 – A WALK WITH NATURE: SUNGEI BULOH WETLAND RESERVE RETREAT

Thriving in Talent Building

Our talent building efforts are thriving, and in a sign of our renewed commitment to expanding our pool of General Insurance talent, we have rebranded the Global Internship Programme (GIP) into the GIA Internship Programme. The GIP has continued to attract more interns and sponsor companies since its inception in 2008.

In 2014, it took 28 interns into its helm to do a 10-week internship programme at sponsor companies from the various sectors of the General Insurance industry. In a testament to its success in creating pathways for young talents to a rewarding career in the industry, the GIP has produced 181 successful interns since its launch, and as of the first quarter of 2015, 42 of them have joined the General Insurance industry as full-fledged professionals.

The Talent Outreach Project was not to be outdone as it continued to help boost the industry's profile and highlight the career opportunities in it. The GIA participated in career fairs at the local universities to raise awareness among students of the General Insurance industry and the career opportunities it can offer them.

Keeping the Tradition of Giving Back

Our annual tradition of Swing for Charity saw another success by raising more than S$120,000 for our selected beneficiaries in 2014: the Singapore Heart Foundation and the Assisi Hospice. Thanks to the organising committee led by Liberty Insurance Pte Ltd, Swing for Charity 2014 more than just raised money for a good cause—it also saw the industry coming together to support a worthy endeavor with more than 120 golfers gracing the event and filling up 31 flights.

Also part of our corporate social responsibility programme is to engage our members and practitioners in nature trips—to cultivate in them a sense of responsibility towards conserving natural habitats and fragile ecosystems for a sustainable future. In collaboration with the Lee Kong Chian Natural History Museum, the GIA organised a trip to one of Singapore's two nature reserves—the Sungei Buloh Wetland Reserve—where participants were introduced to a diverse range of flora and fauna, including various kinds of mangroves and birds. The expedition proved to be an enriching experience for industry practitioners.

Forging Stronger Ties

At the GIA, we value opportunities for our members, practitioners, and other stakeholders to be in one place and mingle. This is why we have kept such social activities as the Maritime Networking Night and the annual Appreciation Night alive and even more vibrant.

Part of the Maritime Knowledge Shipping Session, the Maritime Networking Night marked its fourth year with expressions of appreciation for the strong bond the Singapore marine insurance and maritime communities have forged through the years. Our 2014 Appreciation Night not only lived up to its chief purpose of showing our gratitude to our members and partners for another year of support for our programmes. It also offered a great occasion to grow networks, renew ties, and strike potential collaborations—not to mention to end the year in good and familiar company.

Statement by the Management Committee

General Insurance Association Of Singapore
(UEN: S66SS0020G)

In our opinion, the accompanying financial statements of the General Insurance Association of Singapore (the "Association") set out on pages 36 to 58 are properly drawn up in accordance with the provision of the Society Act, Cap.311, Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2014 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

On behalf of the Management Committee,

Mr A.K. Cher
President

Ms Stella Tan
Vice President

Singapore, 25 March 2015

Independent Auditors' Report to the Members of General Insurance Association Of Singapore

(UEN: S66SS0020G)

Report on the Financial Statements

We have audited the accompanying financial statements of General Insurance Association of Singapore (the "Association"), which comprise the statement of financial position as at 31 December 2014, and the income and expenditure statement, statement of comprehensive income, statement of changes in fund and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes as set out on pages 36 to 58.

Management Committee's Responsibility for the Financial Statements

The Management Committee is responsible for the preparation of financial statements that give a true and fair view in accordance with the position of the Society Act, Cap.311, Constitution of the Association and Singapore Financial Reporting Standards, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair income and expenditure statement and balance sheet and to maintain accountability of assets.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Management Committee, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements are properly drawn up in accordance with the Society Act, Cap. 311, Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2014 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the regulations enacted to Societies Act, Cap. 311 to be kept by the Association have been properly kept in accordance with those regulations.

Kreston David Yeung PAC
Public Accountants and Chartered Accountants

Singapore, 25 March 2015

128A Tanjong Pagar Road, Singapore 088535 Tel: 6223 7979 Fax: 6222 7979

Statement of Financial Position

As at 31 December 2014

	Note	GIA 2014 S$	GIARMC 2014 S$	Total 2014 S$	2013 S$
ASSETS					
Non-Current Assets					
Plant and Equipment	3	198,349	-	198,349	34,331
Current Assets					
Trade Receivables	4	29,391	84,220	113,611	114,831
Other Receivables		21,519	8,108	29,627	1,509
Deposits		58,068	-	58,068	49,989
Prepayments		25,495	30	25,525	54,560
Cash and Cash Equivalents		174,304	123,072	297,376	461,129
Total Current Assets		308,777	215,430	524,207	682,018
Total Assets		507,126	215,430	722,556	716,349
FUNDS AND LIABILITIES					
Funds					
Accumulated Funds		216,646	147,131	363,777	361,806
Current Liabilities					
Trade Payables		-	42,985	42,985	269,094
Accruals	5	270,135	11,300	281,435	75,999
Other Payables		20,345	14,014	34,359	9,450
Total Current Liabilities		290,480	68,299	358,779	354,543
Total Funds And Liabilities		507,126	215,430	722,556	716,349

The notes set out on pages 42 to 58 form an integral part of and should be read in conjunction with this set of financial statements.

Income & Expenditure Statement

For the year ended 31 December 2014

	Note	GIA 2014 S$	GIARMC 2014 S$	Total 2014 S$	Total 2013 S$
Income					
Accident Reports		-	536,285	536,285	496,773
Agents' Registration Fees		707,477	-	707,477	677,506
Agents' Search Fee		24	-	24	238
E-Filing Search Fee		-	268,715	268,715	239,057
GST Seminar		-	-	-	2,242
Levies on Ordinary Members		1,726,573	-	1,726,573	1,238,912
Motor-Barometer of Liability Agreement (BOLA)		36,728	-	36,728	39,439
Motor Insurance seminar		210	-	210	598
Reimbursement from Motor Insurers' Bureau		19,055	-	19,055	25,554
Reimbursement from LCH (S) Pte Ltd		10,719	-	10,719	7,708
Reimbursement Regional Development Committee (RDC)		-	-	-	8,978
Singapore Insurance Institute/Singapore Liability and Casualty Conference		-	-	-	1,559
Sponsorship-Singapore Maritime Foundation		9,293	-	9,293	8,609
Wage credit scheme		6,917	-	6,917	-
Other income		10,030	-	10,030	-
		2,527,026	805,000	3,332,026	2,747,173
Less: Expenditure (Page 39)		(2,865,174)	(464,881)	(3,330,055)	(3,064,699)
Deficit Before Taxation		(338,148)	340,119	1,971	(317,526)
Less: Taxation	6	-	-	-	-
Net Deficit For The Year (Page 40)		(338,148)	340,119	1,971	(317,526)

The notes set out on pages 42 to 58 form an integral part of and should be read in conjunction with this set of financial statements.

Income & Expenditure Statement

For the year ended 31 December 2014

	Note	GIA 2014 S$	GIARMC 2014 S$	Total 2014 S$	Total 2013 S$
Expenditure					
Anniversary expenses		7,779	-	7,779	9,664
Accounting Services Fee					
- current		21,700	7,200	28,900	27,881
- over provision prior year		-	(7,800)	(7,800)	-
Agents' Registration Board Expenses		67,775	-	67,775	40,454
Auditors' Remuneration					
- current		8,500	3,000	11,500	8,500
- prior year		2,500	-	2,500	-
Bad debts written off		4,952	2,491	7,443	-
Bank Charges		552	1,190	1,742	1,445
Computerisation Services	7.1	215,371	-	215,371	239,241
Data Storage		-	1,750	1,750	2,136
Depreciation of Plant and Equipment	3	50,231	-	50,231	41,787
Electricity		6,537	-	6,537	4,540
Entertainment and Refreshment		8,650	-	8,650	9,943
Expenses Incurred on GIA/PIAM/GIAB Liaison Meeting		2,344	-	2,344	5,315
General Expenses		3,918	180	4,098	-
General Insurance Day		-	-	-	30,255
GIA Annual Report		13,600	-	13,600	35,005
GIA Appreciation Night		19,486	-	19,486	19,833
GIA Corporate Gift		12,850	-	12,850	9,395
GIA Newsletter		10,560	-	10,560	29,880
GIA Swing For Charity Expenses	7.2	4,508	-	4,508	7
GIA Website		1,800	-	1,800	8,066
Insurance Expenses		20,814	-	20,814	18,087
Internet Expenses		1,323	-	1,323	2,168
IT support		13,325	-	13,325	7,200
Key Management Remuneration	7.3	697,444	-	697,444	579,057
Penalty & Late Payment charges		10	-	10	8,028
Legal and Professional Fees		80,188	-	80,188	36,641
Management Fees	7.4	-	455,260	455,260	439,329
Marine Committee Expenses		25,719	-	25,719	64,390
Meetings and Seminars	7.5	74,323	-	74,323	38,776
Miscellaneous Expenses		4,213	-	4,213	34,656
Motor Committee Expenses	7.6	208,603	-	208,603	232,041
Newspapers and Publications		439	-	439	523
Office Cleaning		6,296	-	6,296	5,900
Office moving cost		14,893	-	14,893	-
Office Rental and Services		206,786	-	206,786	185,582
Payroll Services		12,960	-	12,960	11,790
Photocopier Rental And Printing Expenses		8,821	-	8,821	8,471
Postages		450	-	450	425
Members' Get-Together		6,357	-	6,357	9,094
Printing and Stationery		9,277	1,457	10,734	12,880
Property Committee Expenses		15,687	-	15,687	52,204
Public Relations Consultancy		64,194	-	64,194	69,132
Recruit Agency Fees		16,967	-	16,967	55,659
Regional Development Committee Expenses	7.7	17	-	17	127,615
Repair and maintenance		6,164	50	6,214	9,457
Sponsorships/Donations	7.8	57,974	-	57,974	56,900
Staff Costs	7.9	442,711	-	442,711	369,241
Subscriptions/ Membership Fees	7.10	15,519	-	15,519	8,820
Talent Outreach Project	7.11	325,287	-	325,287	70,161
Tax Service Fee		8,902	-	8,902	1,462
Team Building Activities Expenses		10,747	-	10,747	12,180
Telecommunication		4,992	103	5,095	4,570
Transportation		7,079	-	7,079	5,271
Upkeep of Office Equipment and Software		302	-	302	376
Warehousing		24,995	-	24,995	2,547
Work-Injury Personal Accident And Health		7,783	-	7,783	719
		2,865,174	464,881	3,330,055	3,064,699

The notes set out on pages 42 to 58 form an integral part of and should be read in conjunction with this set of financial statements.

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Statement of Comprehensive Income

For the year ended 31 December 2014

	GIA 2014 S$	GIARMC 2014 S$	Total 2014 S$	Total 2013 S$
Net Surplus/(Deficit) For The Year (Page 37)	(338,148)	340,119	1,971	(317,526)
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income For The Year	(338,148)	340,119	1,971	(317,526)

Statement of Changes in Fund

For the year ended 31 December 2014

	GIA S$	GIARMC S$	Total S$
Balance as at 01.01.2013	363,636	315,696	679,332
Total comprehensive income for the year	(498,814)	181,288	(317,526)
Transfer of fund from/(to)	454,372	(454,372)	-
Balance as at 31.12.2013/01.01.2014	319,194	42,612	361,806
Total comprehensive income for the year	(338,148)	340,119	1,971
Transfer of fund from/(to)	235,600	(235,600)	-
Balance as at 31.12.2014	216,646	147,131	363,777

The notes set out on pages 42 to 58 form an integral part of and should be read in conjunction with this set of financial statements.

Statement of Cash Flows

For the year ended 31 December 2014

	2014 S$	2013 S$
Cash flows from operating activities:-		
Net surplus/(deficits) before taxation	1,971	(317,526)
Adjustments for:-		
Depreciation of plant and equipment	50,231	41,787
Operating cash flows before changes of working capital	52,202	(275,739)
Changes of working capital:-		
Decrease/(Increase) in trade and other receivables	22,353	(29,633)
(Decrease)/Increase in trade and other payables	(24,059)	172,079
Net cash generated from/(used in) operating activities	50,496	(133,293)
Cash flows from investing activities		
Purchase of plant and equipment	(214,249)	(4,688)
Net cash used in investing activities	(214,249)	(4,688)
Net decrease in cash and cash equivalents	(163,753)	(137,981)
Cash and cash equivalents at the beginning of the year	461,129	599,110
Cash and cash equivalents at the end of the year	297,376	461,129

The notes set out on pages 42 to 58 form an integral part of and should be read in conjunction with this set of financial statements.

Notes to the Financial Statements

31 December 2014

1. GENERAL

The General Insurance Association of Singapore is registered under the Societies Act, Chapter 311. The registered office is located at 180 Cecil Street #15-01, Bangkok Bank Building, Singapore 069546.

The principal activities of the Association relate to the protection, promotion, advancement and the doing of all things in furtherance of the common interests of members and the general insurance industry.

The financial statement of the Association for the year ended 31 December 2014 were authorised for issue in accordance with a resolution by the Management Committee on 25 March 2015.

The financial statements of the Association are expressed in Singapore dollar (S$ or SGD).

2. SIGNIFICANT ACCOUNTING POLICIES

a) Basis of Preparation

The financial statements of the Association have been prepared in accordance with the historical cost convention, except as disclosed in the accounting policies below, and are drawn up in accordance with the provisions of the Singapore Financial Reporting Standards ("FRS").

In the current financial year, the Association has adopted all the new and revised FRS and Interpretations of FRS ("INT FRS") that are relevant to its operations and effective for annual periods beginning on or after 1 January, 2014. The adoption of these new/revised FRSs and INT FRSs have no material effect on the financial statements.

b) Significant Accounting Estimates and Judgements

Estimates, assumption concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Association's accounting policies, reporting amounts of assets, liabilities, income and expenses and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The critical accounting estimates and assumptions used and areas involving a high degree of judgement are described below.

Critical assumptions used and accounting estimates in applying accounting policies

Income tax

The Association recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. When the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Useful lives of plant and equipment

As described in Note 2(c) to the financial statements, the Association reviews the estimated useful lives of plant and equipment at the end of each annual reporting period. The estimated useful lives reflect the Management's estimation of the periods that the Association intends to derive future economic benefits from the use of the Association's plant and equipment. Changes in the expected level of usage and the residual values of these assets, therefore future depreciation charges could be revised.

The carrying amount of plant and equipment as at the end of the reporting period are disclosed in Note 3 to the financial statements.

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

b) Significant Accounting Estimates and Judgements (Continued)

Critical judgements made in applying accounting policies

In the process of applying the entity's accounting policies, management had made the following judgements that have the most significant effect on the amounts recognised in the financial statements.

Allowance account for credit losses

The Association makes allowances account for credit losses based on assessment of the recoverability of trade and other receivables. Allowances are applied to trade and other receivables where events or changes in circumstances indicate that the balances may not be collectible. The identification of bad and doubtful debts required the use of judgement and estimates. Where the expected outcome is different from the original estimate, such difference will impact carrying value of trade and other receivables and doubtful debt expenses in the period in which such estimate had been made.

Impairment of plant and equipment

The Association assesses annually whether plant and equipment have any indication of impairment in accordance with the accounting policy. The recoverable amounts of plant and equipment have been determined based on value-in-use calculations. These calculations require the use of judgement and estimates.

c) Plant and Equipment

All items of plant and equipment are initially recorded at cost. Such cost includes the cost of replacing part of the plant and equipment. The cost of an item of plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Association and the cost of the item can be measured reliably.

Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated on a straight-line method so as to write off the costs of the plant and equipment over their estimated useful live as follows:-

Office equipment	3 years
Computers	3 years
Furniture and fittings	3 years
Renovation	3 years

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual values, useful live and depreciation method are reviewed at each financial year-end to ensure that amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the income and expenditure statement in the year the asset is derecognised.

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

d) Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand and at bank which are readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

e) Financial Assets

Initial recognition and measurement

Financial assets are recognised on the statement of financial position when, and only when, the Association becomes a party to the contractual provisions of the financial instrument. The Association determines the classification of its financial assets at initial recognition.

When financial assets are recognised initially, they are measured at fair value, plus, in the case of financial assets not at fair value through income and expenditure statement, directly attributable transaction costs.

Subsequent measurement

Loans and receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in income and expenditure statement when the loans and receivables are derecognised or impaired, and through the amortisation process.

The Association classified the following financial assets as loans and receivables:

- Cash and cash equivalents
- Trade and other receivables

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in income and expenditure statement.

All regular way purchases and sales of financial assets are recognised or derecognised on the trade date, i.e the date that the Association commits to purchase or sell the asset. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the marketplace concerned.

f) Impairment of Financial Assets

The Association assesses at the end of each reporting period whether there is any objective evidence that a financial asset is impaired.

Financial assets carried at amortised cost

For financial assets carried at amortised cost, the Association first assesses individually whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Association determines that no objective evidence of impairment exists for an individually assessed financial assets, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

f) Impairment of Financial Assets (Continued)

Financial assets carried at amortised cost (Continued)

assessed for impairment and for which an impairment loss is, or continues to be recognised are not included in a collective assessment of impairment

If there is objective evidence that an impairment loss on financial assets carried at amortised cost has incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account. The impairment loss is recognised in income and expenditure statement.

When the asset becomes uncollectible, the carrying amount of impaired financial assets is reduced directly or if an amount was charged to the allowance account, the amounts charged to the allowance account are written off against the carrying value of the financial asset.

To determine whether there is objective evidence that an impairment loss on financial assets has incurred, the Association considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

If in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in income and expenditure statement.

g) Financial Liabilities

Initial recognition and measurement

Financial liabilities are recognised on the statement of financial position when, and only when, the Association becomes a party to the contractual provisions of the financial instrument. The Association determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and in the case of financial liabilities, plus, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in income and expenditure statement when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in income and expenditure statement.

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

h) Impairment of Non-Financial Assets

The Association assesses at the end of each reporting period whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Association makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets. In assessing value in use, the estimated future cash flows expected to be generated by the asset are discounted to their present value. When the carrying amount of an asset exceeds its recoverable amount, the asset is written down to its recoverable amount. Impairment losses are recognised in the income and expenditure statement except for assets that are previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at the end of each reporting period as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in the income and expenditure statement unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase.

i) Contingencies

A contingent liability is:-

(a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association; or

(b) a present obligation that arises from past events but is not recognised because:

i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association.

Contingent liabilities and assets are not recognised on the statement of financial position of the Association, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

j) Provisions

Provisions are recognised when the Association has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

k) Income Recognition

Income is recognised to the extent that it is probable that the economic benefits will flow to the Association and the revenue can be reliably measured. Income is measured at the fair value of consideration received or receivable.

Income from accident and search reports is recognised when the significant risks and rewards of ownership have been transferred to the buyers.

Agents' registration fees received by the Association are credited to the income and expenditure statement over the period of the registration.

The entrance fee is recognised in full in the year in which new members are admitted.

Interest income is recognised using the effective interest method.

l) GIA Records Management Centre (GIARMC)

On 1 May 1999, a Market Agreement was entered into with members of the Association to operate the Non-Injury Motor Accident Reports Scheme.

In connection with the Scheme, the GIA Records Management Centre (the Centre) was established for the purpose of the archival and retrieval of records.

The Association has appointed Merimen Technologies (Singapore) Pte Ltd as the manager to provide the staff and facilities to the Centre. Beside that they also keep and maintain the accounting records and bank account for the Centre. Merimen Technologies (Singapore) Pte Ltd will charge the Association according to the monthly contracted rates for the services rendered.

m) Income Taxes

<u>Current income tax</u>

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the end of the reporting period, in the country where the Association operates and generates taxable surplus.

Current income taxes are recognised in income and expenditure statement except to the extent that the tax relates to items recognised outside income and expenditure statement, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

m) Income Taxes (Continued)

Deferred tax
Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are recognised for all taxable temporary differences, except:

- where the deferred tax relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable surplus or deficit; and

- in respect of deductible temporary differences and carry-forward of unused tax credits and unused tax losses, if it is not probable that taxable surplus will be available against which the deductible temporary difference and carry-forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable surplus will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax relating to items recognised outside income and expenditure statement is recognised outside income and expenditure statement. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Sales tax
Income, expenses and assets are recognised net of the amount of sales tax except:

- Where the sales tax incurred in a purchase of assets or services is not recoverable from the taxation authority, in which case the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

n) Functional and Foreign Currency

Functional currency
The management has determined the currency of the primary economic environment in which the Association operates i.e. functional currency, to be SGD. Sales prices and major costs of providing goods and services including major operating expenses are primarily influenced by fluctuations in SGD.

Transactions and balances
Transactions in foreign currencies are measured in the functional currency of the Association and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in income and expenditure statement in the period in which they arise.

o) Employee Benefits

Defined Contribution Plan
As required by law, the Association makes contributions to the Central Provident Fund (CPF). CPF contributions are recognised compensation as expenses in the same period as the employment that gives rise to the contribution.

Employee Leave Entitlements
Employee entitlements to annual leave are recognised when they accrue to employees. Accrual is made for the unconsumed leave as a result of services rendered by employees up to the end of the reporting period.

p) Key Management Personnel

Key management personnel are those having authority and responsibility for planning, directing and controlling the activities of the Association. The executive director and managers are considered as key management personnel of the Association.

q) Related Parties

A related party is defined as follows:-

a) A person or a close member of that person's family is related to the Association if that person:

   i) Has control or joint control over the Association;

   ii) Has significant influence over the Association; or

   iii) Is a member of the key management personnel of the Association or of a parent of the Association.

b) An entity is related to the Association if any of the following conditions applies:

   i) The entity and the Association are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).

Notes to the Financial Statements

31 December 2014

2. SIGNIFICANT ACCOUNTING POLICIES (Continued)

q) Related Parties (Continued)

ii) One entity is an associate or joint venture of the other entity (or and associate or joint venture of a member of a group of which the other entity is a member).

iii) Both entities are joint ventures of the same third party.

iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.

v) The entity is a post-employment benefit plan for the benefit of employees of either the Association or an entity related to the Association. If the Association is itself such a plan, the sponsoring employers are also related to the Association;

vi) The entity is controlled or jointly controlled by a person identified in (a);

vii) A person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).

r) Leases – as lessee

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item are classified as operating leases. Operating lease payments are recognised as an expense in the income and expenditure statement on a straight -line basis over the lease term.

Notes to the Financial Statements

31 December 2014

3. PLANT AND EQUIPMENT

	Office Equipment S$	Computers S$	Furniture and fittings S$	Renovation S$	Total S$
Cost					
At 01.01.2013	18,908	327,448	6,943	101,514	454,813
Additions	1,677	3,011	-	-	4,688
At 31.12.2013/01.01.2014	20,585	330,459	6,943	101,514	459,501
Additions	3,121	16,513	1,471	193,144	214,249
At 31.12.2014	23,706	346,972	8,414	294,658	673,750
Accumulated Depreciation					
At 01.01.2013	13,517	321,160	4,741	43,965	383,383
Charge for the year	3,271	3,565	1,113	33,838	41,787
At 31.12.2013/01.01.2014	16,788	324,725	5,854	77,803	425,170
Charge for the year	3,206	4,736	1,110	41,179	50,231
At 31.12.2014	19,994	329,461	6,964	118,982	475,401
Net Book Value					
At 31.12.2014	3,712	17,511	1,450	175,676	198,349
At 31.12.2013	3,797	5,734	1,089	23,711	34,331

4. TRADE RECEIVABLES

Trade receivables are non-interest bearing and are generally on immediate to about 30 days term. They are recognised at their original invoiced amounts which represent their fair values on initial recognition. These receivables are unsecured and the analysis of their aging at the end of the reporting period is as follows:-

	GIA 2014 S$	GIARMC 2014 S$	Total 2014 S$	Total 2013 S$
Not past due	13,129	66,932	80,061	57,025
Past due 1 - 30 days	15,860	986	16,846	14,520
Past due 31 - 60 days	102	1,026	1,128	24,718
Past due more than 60 days	300	15,276	15,576	18,568
	29,391	84,220	113,611	114,831

The trade receivables that are past due at the end of the reporting period but not impaired amounting to S$33,550 (2013: S$57,806).

Notes to the Financial Statements

31 December 2014

5. ACCRUALS

	2014 S$	2013 S$
Provision of staff cost	129,401	-
Provision of reinstatement cost for renovation	25,000	-
Professional fees	21,000	-
Accrued operating expenses	106,034	75,999
	281,435	75,999

6. TAXATION

The income tax expense on the results for the financial year varies from the amount of income tax determined by applying the Singapore standard rate of income tax to surplus/(deficit) before taxation due to the following factors:-

	2014 S$	2013 S$
Surplus/(Deficits) before taxation	1,971	(317,526)
Tax calculated at a tax rate of 17%	335	(53,979)
Expenses not deductible for tax purposes	8,452	45,026
Income not subject to tax	(3,286)	(32,479)
Deferred tax assets at beginning of year	42,865	1,396
Deferred tax assets at end of year	(45,380)	42,865
Enhanced claim	(2,986)	(2,829)
	-	-

At the end of the reporting period, the Association has unutilised tax losses of approximately S$143,348 (2013: S$227,557) available for setting off against its future taxable income subject to agreement with Comptroller of Income Tax and compliance with the relevant sections of the Income Tax Act. No deferred tax asset is recognised due to uncertainty of its recovery.

Notes to the Financial Statements

31 December 2014

7. EXPENDITURE

7.1 Computerisation services

	2014 S$	2013 S$
Agents Registration and CPD Management (ARCM) System expenses consist of:-		
- F5 annual standard service	16,530	-
- Hardware maintenance	12,184	93,540
- Meeting and seminar	881	-
- Litigation monitoring services	4,900	3,850
- Storage fee	1,602	1,296
- Change request	16,500	25,575
- System support	70,090	32,550
- Hosting services	92,684	82,430
	215,371	239,241

7.2 GIA Swing for Charity Expenses

	2014 S$	2013 S$
Receipt for GIA Swing	(206,350)	(191,050)
Expenses for GIA Swing	83,858	65,643
Donation for GIA Swing	127,000	125,414
	4,508	7

7.3 Key management's remuneration

	2014 S$	2013 S$
Salaries and other costs	655,759	539,886
Employer's contribution to CPF	41,685	39,171
	697,444	579,057

Notes to the Financial Statements

31 December 2014

7.4 Management fees

The management fees charged by Merimen Technologies (Singapore) Pte Ltd for managing the day-to-day affairs of the Association, as disclosed in Note 2(l) to the financial statements.

	2014 S$	2013 S$
The amounts consist of:-		
- E-Filing submission	172,361	177,797
- E-File Search Fee	19,717	17,574
- E-File Purchase	79,074	54,143
- NCD Fee and Batch Maintenance Fee	56,600	53,900
- Accounting Fee & Postage	14,400	14,400
- BOLA Subscription Fee	19,200	32,800
- Other	93,908	88,715
	455,260	439,329

7.5 Meetings and seminars

	2014 S$	2013 S$
Annual General Meeting	29,792	17,665
Asean Insurance Council (AIC) meeting	5,042	3,310
East Asian Insurance Congress (EAIC) meeting	9,062	4,015
Meeting and seminar	30,427	4,911
Motoring Seminar	-	8,875
	74,323	38,776

7.6 Motor Expenses

	2014 S$	2013 S$
Advertisement	67,468	162,748
Food and Beverage	3,426	2,786
Insurance Fraud	40,965	12,230
Legal fee	47,459	-
Miscellaneous	1,843	47
Motor Claim	-	1,100
Motor insurance seminar	605	13,290
Public Relations Consultancy	34,566	29,724
Sponsorship	12,000	10,000
Transport	271	116
	208,603	232,041

Notes to the Financial Statements

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7.7 Regional Development Committee Expenses

	2014 S$	2013 S$
Global Internship Programme	17	127,615

7.8 Sponsorships/Donations

	2014 S$	2013 S$
GIA Swing For Charity	15,000	15,000
National University of Singapore Museum fund	3,000	3,000
Singapore Insurance Institute (SII)	2,000	15,000
Sponsorship – CASE Fund Raising	2,500	2,500
Sponsorship – NFPC	5,000	-
Sponsorship – ASIA	5,000	-
Sponsorship – AIC Disaster Relief	6,425	-
Sponsorship – IBE 40th Annual Gala Dinner event	3,888	-
Sponsorship for SII/SCI Bowling Competition 2014	500	-
Sponsorship – Asean Insurance Summit	12,661	-
Sponsoring of 1 flight for Insurance Golf Challenge 201	2,000	-
The Institute of Banking and Finance	-	21,400
	57,974	56,900

7.9 Staff Costs

	2014 S$	2013 S$
Salaries and other costs	383,147	320,085
Employer's contribution to CPF	59,564	49,156
	442,711	369,241

7.10 Subscriptions and Membership Fees

	2014 S$	2013 S$
Asean Insurance Council (AIC)	6,710	1,994
International Union of Maritime Insurance (IUMI)	8,809	6,826
	15,519	8,820

7.11 Talent Outreach Project

	2014 S$	2013 S$
Refunded to MAS	241,499	-
Expenses incurred	83,788	70,161
	325,287	70,161

Notes to the Financial Statements

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8. COMMITMENTS

a) Capital commitment

Capital expenditure contracted for as at the end of the reporting period but not recognized in the financial statements are as follows:-

	2014 S$	2013 S$
Capital commitments in respect of plant and equipments (ARCM)	649,500	-

b) Operating lease commitments – as per lessee

The Association leases office premises and equipment under non-cancellable operating leases agreement. None of these leases included contingent rent. Office and equipment rental expenses for the financial year were S$206,786 (2013: S$185,582) and S$8,821 (2013: S$8,471) respectively. Future minimum rentals under non-cancellable leases are as follows as of 31 December:-

	2014 S$	2013 S$
Amount due within 1 year	232,368	159,611
Amount due within 2 and 5 years	464,592	17,424
	696,960	177,035

9. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES

The main risks arising from the Association's financial instruments are credit risk, interest rate risk, foreign currency risk and liquidity risk. The Association does not use derivative and other instruments in its risk management activities. The Association does not hold, use or issue derivative financial instruments for trading purposes. The Management Committee reviews and agrees policies for managing each of these risks and these risks are summarised below:

Credit Risk

The main credit risk is from any default by its trade receivables. The Association grants credit only to credit-worthy counter parties. Management Committee also closely monitors all outstanding debts and reviews the collectability of receivables periodically. The Association does not identify any specific concentration of credit risk with regard to the receivables balances resemble a large number of receivables from a large number of members.

Cash and cash equivalents are deposited in financial institutions with high rating.

The carrying amount of financial assets recorded in the financial statements, net of any provision for losses, represents the Association's maximum exposure to credit risk without taking into account of the value of any collateral or other security obtained.

Interest Rate Risk

The Association's exposure to market risk for changes in interest rates relates primarily to the Association's bank balance. However, as at year end, the exposure is insignificant.

Notes to the Financial Statements

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9. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES (Continued)

Foreign Currency Risk

The Association's operational activities are carried out in Singapore dollar. All transactions are paid for in local currency. There is no exposure to any risk arising from movements in foreign currencies exchange rates as the Association has no transactions in foreign currency.

Liquidity Risk

In the management of liquidity risk, the Association monitors and maintains a level of cash and bank balances deemed adequate by the Management Committee to finance the Association's operations and mitigate the effects of fluctuations in cash flows.

10. CATEGORIES OF FINANCIAL INSTRUMENTS

The following table sets out the financial instruments as at the end of the reporting period:-

	2014 S$	2013 S$
Financial assets		
Loans and receivables:-		
Trade receivables	113,611	114,831
Other receivables and deposits	87,695	51,498
Cash and cash equivalents	297,376	461,129
	498,682	627,458
Financial liabilities		
At amortised costs:-		
Trade payables	42,985	269,094
Other payables	34,359	9,450
Accruals	281,435	75,999
	358,779	354,543

11. FAIR VALUE

The carrying amount of financial assets and financial liabilities recorded in the financial statements represents their respective fair values, determined in accordance with the accounting policies disclosed in Note 2 to the financial statements.

Notes to the Financial Statements

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12. CAPITAL MANAGEMENT

The Association manages its capital to ensure that it will be able to continue as a going concern while maximising the return to shareholders through the optimisation of the debt and equity balances.

The Association manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Association may adjust the dividend payment to shareholders or issue new shares.

The Association's overall strategies remain unchanged during the financial year ended 31 December 2014 and 31 December 2013.

The Association does not have any externally imposed capital requirements.

13. NEW OR REVISED ACCOUNTING STANDARDS AND INTERPRETATIONS

The Association has not adopted the following standards that have been issued but not yet effective:-

Description	Effective for annual periods beginning on or after
Amendments to FRS 19 *Defined Benefit Plans: Employee Contributions*	1 July 2014
Improvements to FRSs (January 2014)	
(a) Amendments to FRS 102 *Share Based Payment*	1 July 2014
(b) Amendments to FRS 103 *Business Combinations*	1 July 2014
(c) Amendments to FRS 108 *Operating Segments*	
(d) Amendments to FRS 113 *Fair Value Measurement*	1 July 2014
(e) Amendments to FRS 16 *Property, Plant and Equipment* and FRS 38 *Intangible Assets*	1 July 2014
(f) Amendments to FRS 24 *Related Party Disclosures*	1 July 2014
Improvements to FRSs (February 2014)	
(a) Amendments to FRS 103 *Business Combinations*	1 July 2014
(b) Amendments to FRS 113 *Fair Value Measurement*	1 July 2014

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